

[Policy Statement](#)

[Scope](#)

[Applicability](#)

[Exclusions & Exceptions](#)

[Authorizations](#)

[Initial Recognition and Measurement](#)

[Subsequent Measurement](#)

[Derecognition](#)

[Presentation](#)

[Financial Statement Line Items Affected](#)

[Related Documents, Tools, and Templates](#)

[Roles and Responsibilities](#)

POLICY NUMBER: **FP-FIN-002**

CAPITALIZATION OF EMPLOYEE LABOR COSTS ACCOUNTING POLICY

The purpose of this policy is to provide comprehensive guidance regarding Hilton Worldwide Holdings, Inc.'s ("Hilton") accounting for capitalized labor costs in accordance with US Generally Accepted Accounting Principles ("GAAP") Accounting Standard Codification ("ASC").

POLICY STATEMENT

Hilton may engage in construction or renovation projects at our owned or leased hotels or develop software for internal use that will be capitalized upon completion. As a part of these projects, Hilton incurs internal labor costs necessary for their completion.

SCOPE

The scope of this policy extends to internal labor costs directly related to construction, renovation, or internal use software development projects. Internal labor costs essential for bringing the project to the condition necessary for its intended use should be capitalized as part of the asset's historical cost.¹ Common types of projects in which internal labor costs are capitalized include but are not limited to:

- Owned or leased hotel construction or major renovations.
- Room, meeting space, or office renovations.
- Internal use software development projects.

To qualify for capitalization of internal labor costs, the related project must have a total budgeted cost greater than \$100K. Additionally, the project or asset must be Hilton's asset (i.e., consolidated by Hilton and most likely related to an Owned, Leased, Consolidated JV property or other Corporate Asset). Refer to Hilton's **FP-FIN-001 – Fixed Asset Accounting Policy** and **FP-FIN-016 – Internal-Use Software, Hosting Arrangements and Website Development Accounting Policy** for additional details.

APPLICABILITY

This policy applies to all Finance, Asset Management and IT personnel.

EXCLUSIONS/ EXCEPTIONS

The following list are labor costs that should not be capitalized:

- Work related to properties where Hilton does not capitalize fixed assets (i.e., managed properties and certain lease properties). Refer to **FP-FIN-007 – Lease Accounting Policy** for clarity.
- Pre-construction labor (i.e., formulating development and renovation ideas unrelated to an approved project that is expected to proceed) and post-construction labor (i.e., pre-opening activities).
- All costs for internal use software development projects that do not meet the capitalization criteria in **FP-FIN-016– Internal-Use Software, Hosting Arrangements and Website Development Accounting Policy**.
- Work not directly related to the development or construction of the project (e.g., salaries of General Managers or Executives not directly involved in project).
- Hours which are not tracked by time and relationship to the construction or development of capital assets.

AUTHORIZATIONS

Required Consultations with Technical Accounting (“TA”)

None.

Additional Consultation Requirements

Documentation and approval around the capitalization of any internal labor costs must be maintained and documented in accordance with Hilton's SOX controls.

¹ ASC 360-10-30-1, Property, Plant, and Equipment, Overall, Initial Measurement

INITIAL RECOGNITION AND MEASUREMENT

All labor costs qualifying for capitalization should be initially recognized and recorded at cost on the balance sheet. Costs to be capitalized include payroll and related personnel costs, such as travel expenses, of Team Members that are directly involved in the construction or development of a capital asset.²

Hilton capitalizes payroll and related personnel costs based on the labor hours a Team Member directly works on the project. Payroll amounts are based upon the Team Member's "fully loaded rate" (i.e., all salary, bonus, LTI plan, benefits, and taxes) as provided by Payroll. These labor hours must be tracked (by person and project) and directly relate to the project.³

The Team Member's involvement in the project must be substantial and ongoing rather than incidental to his or her primary duties.⁴ For example, although a general manager would be involved in the hotel renovation planning process, it would not be appropriate to charge part of his/her compensation to the project. Records, such as timesheets, that clearly substantiate the Team Member's role in the project must support the capitalization of Team Member's payroll costs and the amount of time devoted to the project (i.e., description of the nature of work and time records supporting hours worked).

Alternatively, certain Team Members or departments in which a substantial portion of the Team Member's labor is capitalized (e.g., Architecture and Construction and certain IT Personnel), may adopt a standard methodology for evidencing and allocating the capital labor to the appropriate project. This allocation methodology should be reviewed at least monthly by each Team Member's supervisor, project manager, work stream lead, and/or other responsible party with oversight into the amount of time spent working and the nature of the work performed.

Monthly approved records that clearly substantiate the appropriateness of each employee's time capitalized must be maintained. For IT projects, the nature of the work should be documented to ensure capitalization is appropriate, please refer to **FP-FIN-016 – Internal-Use Software, Hosting Arrangements and Website Development Accounting Policy**.

SUBSEQUENT MEASUREMENT

Capitalized labor costs are depreciated or amortized over the useful life of the underlying fixed asset or intangible (i.e., internal-use software) asset, or for hosting arrangements over the term of the arrangement and are periodically evaluated along with the underlying capital asset for impairment. Refer to **FP-FIN-001 – Fixed Asset Accounting Policy** and **FP-FIN-016 – Internal-Use Software, Hosting Arrangements and Website Development Accounting Policy** for further guidance on depreciation and amortization or **FP-FIN-033 – Impairment Accounting Policy** for guidance on impairment.

DERECOGNITION

Capitalized labor costs are derecognized as part of the underlying fixed asset, intangible asset, or prepaid asset once disposed of or sold. Refer to **FP-FIN-001 – Fixed Asset Accounting Policy** and **FP-FIN-016 – Internal-Use Software, Hosting Arrangements and Website Development Accounting Policy** for further guidance.

PRESENTATION

Refer to **FP-FIN-001 – Fixed Asset Accounting Policy** and **FP-FIN-016 – Internal-Use Software, Hosting Arrangements and Website Development Accounting Policy** for presentation guidance.

² ASC 360-10-30-1, *Property, Plant, and Equipment, Overall, Initial Measurement*

³ ASC 350-40-30-1, *Intangibles – Goodwill and Other, Internal Use Software, Initial Measurement*

⁴ ASC 350-40-30-3, *Intangibles – Goodwill and Other, Internal Use Software, Initial Measurement*

FINANCIAL STATEMENT LINE ITEMS AFFECTED

Note: The following section addresses the financial statement line items affected by the accounting for routine transactions covered by this policy. For all transactions that require a consultation with TA, please defer to the guidance provided by TA regarding the appropriate financial statement line items affected by the transaction.

Transaction	Affected		
	Balance Sheet Line Item	Income Statement Line Item	Cash Flow Statement Section
Initial capitalization of employee labor costs related to fixed assets: Recorded at cost on the balance sheet* *Recorded as part of a larger fixed asset.	- Property and equipment, net (debit) - Cash and cash equivalents or Accounts payable, accrued expenses and other (credit)	- N/A	- Investing Activities (Outflow)
Initial capitalization of employee labor costs related to internal-use software: Recorded at cost on the balance sheet* *Recorded as part of a larger intangible asset.	- Other intangible assets, net (debit) - Cash and cash equivalents or Accounts payable, accrued expenses and other (credit)	- N/A	- Investing Activities (Outflow)
Initial capitalization of employee labor costs related to hosting arrangements: Recorded at cost on the balance sheet* *Recorded as part of a larger asset.	- Other long-term assets (debit) - Cash and cash equivalents or Accounts payable, accrued expenses and other (credit)	- N/A	- Operating Activities (Outflow)

*Refer to **FP-FIN-001 – Fixed Asset Accounting Policy** and **FP-FIN-016 – Internal-Use Software, Hosting Arrangements and Website Development Accounting Policy** for details of the financial statement line items affected by subsequent depreciation/amortization, write-offs (disposal/ sale), and impairment of capitalized labor cost.

RELATED DOCUMENTS, TOOLS, AND TEMPLATES

POLICIES & PROCEDURES

[FP-FIN-001 – Fixed Asset Accounting Policy](#)

[FP-FIN-007 - Lease Accounting Policy](#)

[FP-FIN-016 – Internal-Use Software, Hosting Arrangements and Website Development Accounting Policy](#)

[FP-FIN-033 – Impairment Accounting Policy](#)

ROLES AND RESPONSIBILITIES

ENTITY/PERSONNEL

Technical_Accounting@hilton.com

RESPONSIBILITIES

The email represents the TA contact address. Please direct any questions regarding the interpretation or implementation of this policy to a member of the TA team or the listed email.